THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

ANSWER KEY & MARKING SCHEME SET A

Economics Chapter 4: **Globalisation and the Indian Economy** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** multinational corporation	MNC
2	**(a)** investment	Investment
3	**(c)** foreign investment	Foreign investment
4	**(c)** buy up local companies and expand production	Cargill bought Parakh Foods
5	**(d)** Cargill Foods	Largest edible oil producer in India
6	**(a)** Both A and R are true and R is the correct explanation of A	Reason for MNC investment
7	**(b)** Chennai	Rs 1700 crore
8	**(a)** liberalisation	Liberalisation
9	**(c)** trade barriers	Trade barriers
10	**(b)** liberalise international trade	WTO

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	The process of rapid integration or interconnection between countries, through greater foreign trade and foreign investment, in which MNCs play a major role.	2
12	Industrial zones with world class facilities such as electricity, water, roads, transport, storage, recreational and educational facilities; companies setting up units there do not pay taxes for an initial period of five years.	2
13	Trade between countries; it creates opportunities for producers to reach beyond domestic markets and for buyers to expand their choice beyond domestic goods.	2
14	Tata Motors, Infosys, Ranbaxy, Asian Paints, Sundaram Fasteners (any two).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	To get cheap labour and resources, closeness to markets and assured factors of production, lowering costs by 50–60 per cent; e.g. an MNC designs in the US, makes components in China, assembles in Mexico and Eastern Europe, and runs call centres in India.	1+1+1
16	Setting up production jointly with local companies; buying up local companies (Cargill–Parakh); placing orders with small producers (garments, footwear, sports goods) and selling under their own brand; closely competing with local companies.	1+1+1
17	Barriers protected newly emerging industries of the 1950s and 1960s from foreign competition; only essential imports like machinery, fertilisers and petroleum allowed; around 1991 the government felt producers should compete globally to improve quality; supported by international organisations.	1+1+1
	OR: Chinese toys were cheaper and had new designs; 70–80 per cent of toy shops replaced Indian toys within a year; buyers got greater choice and lower prices; Indian toy makers faced losses.	1+1+1
18	Improvements in transport (containers, cheaper air transport) allow faster delivery at lower cost; IT, telecommunication, computers and internet allow production of services to be spread across countries; e.g. a magazine designed and printed in Delhi for London and paid through e-banking.	1+1+1
	OR: Developed countries have unfairly retained trade barriers and pay huge sums to their farmers while developing countries were forced to remove barriers; trade is not free and fair in practice.	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks

19	Consumers, especially well-off urban, enjoy greater choice, better quality and lower prices; MNC investments created jobs and supplier companies prospered; top Indian companies gained by technology and collaborations and became MNCs (Tata Motors, Infosys, Ranbaxy); IT-enabled services grew; but small producers like Ravi in capacitors, batteries, toys, tyres, dairy and vegetable oil were hit and units closed.	5
	OR: Benefits for well-off urban consumers and skilled/educated producers; MNCs invested in cell phones, automobiles, electronics, banking; local suppliers prospered; large Indian companies gained; small producers lost; workers faced flexible jobs, long hours and low wages (Sushila); the benefits were not shared fairly.	5
20	Fair globalisation creates opportunities for all and shares benefits better; government can implement labour laws, support small producers, use trade and investment barriers where necessary, negotiate fairer WTO rules and align with other developing countries; people's campaigns have influenced WTO decisions.	5
	OR: Rapid improvements in technology (transport and IT); liberalisation of foreign trade and investment policy; pressure from international organisations like WTO; barriers on trade removed since 1991; MNC investments.	5

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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ANSWER KEY & MARKING SCHEME SET B

Economics Chapter 4: **Globalisation and the Indian Economy** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(c)** within countries	Trade was the main link
2	**(a)** Foreign trade	Trade
3	**(a)** a huge reduction in port handling costs	Technology
4	**(d)** Increase in trade barriers	Barriers removed
5	**(d)** 160	WTO
6	**(a)** Both A and R are true and R is the correct explanation of A	Unfair practices
7	**(b)** Ford Motors	Ford is American
8	**(d)** 1 per cent	US farmers receive massive subsidies
9	**(d)** 11 crore	Text
10	**(d)** Quota	A limit on imports

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	A limit placed by the government on the number of goods that can be imported; it is a trade barrier.	2
12	Companies hire workers for short periods when there is pressure of work instead of on a regular basis, to reduce labour cost.	2
13	Movement of people between countries; movement of technology and services (any two).	1+1
14	A foreign company spent Rs 1700 crore on setting up a plant near Chennai in collaboration with Mahindra and Mahindra.	2

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Foreign trade is the exchange of goods and services between countries; foreign investment is money spent by MNCs on assets such as land, buildings, machines in another country; trade connects markets, investment connects production.	1+1+1
16	Producers reach foreign markets and buyers get more choice; prices of similar goods become equal; producers in different countries compete; e.g. Chinese toys in Indian markets.	1+1+1
17	He started capacitors in 1992 in Hosur; the government removed import restrictions in 2001 per WTO; TV companies moved into assembling and imported cheaper capacitors at half his price; he produces less than half and employs only seven workers.	1+1+1
	OR: Better roads, power, water, raw materials, marketing and information network; modernised technology; timely credit at reasonable interest rates; government support.	1+1+1
18	Exporters cut labour costs; workers are hired temporarily with long hours, night shifts and low wages; Sushila lost permanent status, earns less than half and travels far; MNCs earn profits; workers are denied fair share.	1+1+1
	OR: To get investment, jobs and technology; set up SEZs with world-class facilities and five-year tax holiday; allow flexibility in labour laws.	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	MNC owns or controls production in more than one nation; sets up where cheap and close to markets; joint production brings money and technology; buys local companies; places orders with small producers; example of Ford, Cargill; production gets interlinked; trade also controlled by MNCs.	5
	OR: MNC designs in US, components in China, assembly in Mexico and Eastern Europe, customer care in India; cheap labour, closeness to markets, skilled English-speaking youth; 50–60 per cent cost savings; production divided into parts across the globe.	5

20	Removing barriers; after Independence barriers protected industries; since 1991 barriers removed; businesses decide freely about imports and exports; WTO aims to liberalise trade, rules for trade; about 160 members; pressure on developing countries; unfairness in agriculture subsidies.	5
	OR: Jobs insecure, flexible, temporary; long hours; low wages; organised sector conditions resemble unorganised; government can enforce labour laws, employers can give fair wages, MNCs can avoid forcing low prices, workers can organise.	5

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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